

Module 8

Principles of Auditing

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

In general, directors are required to:

- Carry out their duties in good faith for the benefit of the company and avoid any conflicts of interest.
- Use their directorship authority for a proper purpose in the best interests of the shareholders.
- Not delegate powers except with proper authorisation.
- Exercise independent judgment.
- Exercise care, diligence, and skill.
- Maintain adequate accounting records.
- Comply with the company's Articles of Association, corporate governance measures, and resolutions.
- Not allow unauthorised use of the company's property and/or information.
- Not use the position as a director to gain personal advantage.
- Not accept personal benefits from third parties because of their position as a director.

Answer 1(b)

Non-compliance with laws and regulations has a material impact on the financial statements because if the company is in breach of a law or regulation, they can receive a fine or penalty or be required to pay costs and damages.

In some cases, this can potentially affect the going-concern basis of the company.

Answer 1(c)

If the auditor becomes aware of information concerning an instance of non-compliance or suspects non-compliance with laws and regulations, the auditor shall obtain:

- (a) An understanding of the nature of the act and the circumstances in which it has occurred; and
- (b) Further information to evaluate the possible effect on the financial statements.

If the auditor suspects there may be non-compliance, the auditor shall discuss the matter, unless prohibited by law or regulation, with the appropriate level of management and, where appropriate, those charged with governance.

If management or, as appropriate, those charged with governance do not provide sufficient information that supports that the entity is in compliance with laws and regulations and, in the auditor's judgment, the effect of the suspected non-compliance may be material to the financial statements, the auditor shall consider the need to obtain legal advice.

The auditor shall request management and, where appropriate, those charged with governance, to provide written representations that all known instances of non-compliance or suspected non-compliance with laws and regulations whose effects should be considered when preparing financial statements have been disclosed to the auditor.

The auditor shall evaluate the implications of identified or suspected non-compliance in relation to other aspects of the audit, including the auditor's risk assessment and the reliability of written representations, and take appropriate action.

Answer 1(d)

Seven elements of the control environment:

- Communication and enforcement of integrity and ethical values
- Commitment to competence
- Participation by those charged with governance
- Management's philosophy and operating style
- Organisational structure
- Assignment of authority and responsibility
- Human resource policies and practices

Answer 2(a)

The terms of the audit engagement that shall be recorded in an audit engagement letter include:

- The objective and scope of the audit of the financial statements;
 - The responsibilities of the auditor;
 - The responsibilities of management;
 - Identification of the applicable financial reporting framework for the preparation of the financial statements;
 - Reference to the expected form and content of any reports to be issued by the auditor;
- and

- A statement that there may be circumstances in which a report may differ from its expected form and content.

Answer 2(b)

The conceptual framework approach required by the Code of Ethics says to:

- Identify threats to compliance with the fundamental principles;
- Evaluate the threats identified; and
- Address the threats by eliminating or reducing them to an acceptable level.

When the professional accountant determines that appropriate safeguards are not available or cannot be applied to eliminate the threats or reduce them to an acceptable level, the professional accountant shall eliminate the circumstance or relationship creating the threats or decline or terminate the audit engagement.

Answer 2(c)

HKFRS 16 is effective for annual periods beginning on or after 1 January 2019. This may be the first time for the client to adopt this new accounting standard since HML was incorporated in January 2020.

Several assumptions are required for lease accounting, and these assumptions can generate a substantial difference in the initial right-of-use asset and lease liability. Examples of these key assumptions include reasonably certain assumptions regarding the exercise of options, establishing an incremental borrowing rate, and estimates for consumer price index

Due to the existence of assumptions involved in the accounting of leases, the inherent risk of misstatement is high.

Answer 2(d)

HML carries out manufacturing and wholesale business with one factory. The lease liability is related to the lease agreement for the factory. The number of transactions is small. Substantive approach is considered as an efficient and effective approach for collecting audit evidence for the audit of the lease liability of HML.

Answer 2(e)

There may be impairment of the machineries since they are purchased at very high prices. The recoverable amount of the machineries may be lower than the carrying value. The inherent risk is relating to the valuation of the machineries. The inherent risk of valuation of the machineries is high since recoverable amount is difficult to estimate.

Answer 2(f)

HML carries out a small manufacturing and wholesale business with one factory. The machineries are newly acquired for the factory. The number of transactions is small. Substantive approach is considered as an efficient and effective approach for collecting audit evidence for the audit of the machineries of HML.

Answer 2(g)

Business risks, consists of misappropriation of mask by staff, and decrease in net realisable value due to decrease in demand.

Inherent risk is the misstatement (overstatement) of inventory. Misappropriation of mask by staff may lead to overstatement of inventory. The relevant assertion is existence.

Decrease in net realisable value due to decrease in demand may lead to overstatement of inventory. The relevant assertion is valuation.

The inherent risk of misstatement is high.

Answer 3(a)

The objectives of the auditor in relation to the audit of a group:

To determine whether they can act as the auditor of the group financial statements; and

If acting as the auditor of the group financial statements:

To communicate clearly with component auditors about the scope and timing of their work on financial information related to the components and their findings; and

To obtain sufficient and appropriate audit evidence regarding the financial information of the components and the consolidation process to express an opinion on whether the group financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework (i.e., HKFRSs).

Answer 3(b)

Existence – accounts receivable exist.

Rights and obligations – the entity holds or controls the rights to accounts receivable.

Completeness – all accounts receivable that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included.

Accuracy, valuation, and allocation – accounts receivable have been included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments have been appropriately recorded, and related disclosures have been appropriately measured and described.

Answer 3(c)

The possible audit procedures for the accounts receivable:

Obtain an aged accounts receivable listing, cast the list, and agree the total with the financial statements.

Agree the accounts receivable ledger control account total with the list of accounts receivable at year-end.

Inspect subsequent settlements to year-end accounts receivable balances and note long outstanding debts not yet paid.

Select a sample of year-end accounts receivable balances and check against goods delivery notes and copies of sales invoices.

Select a sample of goods delivery notes immediately pre- and post-year-end and follow through to the copies of sales invoices to ensure that the sales have been recorded in the correct accounting period.

Perform accounts receivable confirmation.

Review the valuation of the accounts receivable to ensure that an appropriate allowance has been made in accordance with the expected credit loss model in HKFRS 9 *Financial Instruments*.

Discuss the aged accounts receivable with the management to assess whether any further allowance is required.

Inspect any customer correspondences to assess if there are any material disputed items that require a balance to be written off.

Inspect the list of accounts receivable for any credit balances to assess whether these need to be reallocated to accounts payable.

An analytical procedure which can be applied when auditing accounts receivable is the calculation of accounts receivable turnover, comparing to the prior year, and investigating any significant differences.

Review minutes to note any pledging accounts receivable as collateral.

Send confirmation to bank and examine correspondence files that may disclose the evidence of client's right to accounts receivable.

Review the financial statements for the proper presentation and disclosure.

Answer 4(a)

The contents to be included in the auditor's responsibilities section in the auditor's report:

State that the objectives of the auditor are to:

Obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error; and

Issue an auditor's report that includes the auditor's opinion.

State that reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with HKSAs will always detect a material misstatement when it exists; and

State that misstatements can arise from fraud or error, and either:

Describe that they are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements; or

Provide a definition or description of materiality in accordance with the applicable financial reporting framework.

The auditor's responsibilities for the audit of the financial statements section of the auditor's report shall further:

State that, as part of an audit in accordance with HKSAs, the auditor exercises professional judgment and maintains professional scepticism throughout the audit; and

Describe an audit by stating that the auditor's responsibilities are:

To identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error; to design and perform audit procedures responsive to those risks; and to obtain audit evidence that is sufficient and appropriate to provide a basis for the auditor's opinion.

To obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control.

To evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

To conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern.

When the financial statements are prepared in accordance with a fair presentation framework, to evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Answer 4(b)

Two types of modified opinions are a qualified opinion and a disclaimer of opinion.

Inability to obtain sufficient appropriate audit evidence and the misstatement is material but not pervasive; gives rise to a qualified opinion.

Inability to obtain sufficient appropriate audit evidence and the misstatement is material and pervasive; gives rise to a disclaimer of opinion.

Answer 4(c)

As the misstatement is material but not pervasive, a qualified opinion is to be given.

The auditor should amend the heading "Basis for Opinion" to "Basis for Qualified Opinion", and state the reasons for that inability to determine whether any adjustments to revenue, impairment of accounts receivable were necessary.

* * * END OF EXAMINATION PAPER * * *